These new limits would result in ‘large enterprises’ with investments between Rs 10 crore and Rs 50 crore being classified as MSME.

How Many MSMEs Do We Have?

How many enterprises operating and doing business in the country are MSMEs? Nobody really knows. There is no system of registering all MSMEs. There is no national or state database of MSMEs.

India conducts an Economic Census periodically to collect data on ‘non-farm businesses’, i.e., counting all businesses other than agriculture businesses. These business entities are termed establishments. The Economic Census is conducted on a sample basis. The last Economic Census, the sixth, was conducted in 2013.

The Economic Census 2013 found that there were about 5.85 crore business establishments in operation in the country, of which more than 60 per cent were in rural areas. The Census 2013 reported that there was good growth in the number of such business establishments in the period between the Fifth and Sixth Economic Census; the Fifth Economic Census was conducted eight years earlier in 2005. The number of establishments in the country increased by more than 40 per cent during this period, which roughly provides a growth rate of about 5 per cent a year. The Economic Census 2013 also reported that there were thirteen crore workers employed in these businesses.

The National Sample Survey 73rd Round (NSS 73rd Round) conducted in 2015–16 substantiated the data and findings of the Economic Census 2013. It found that there were 6.34 lakh unincorporated non-agricultural MSMEs in the country. It also reported that over 99 per cent of these enterprises (as many as 6.30 crore out of total 6.34 crore establishments) were micro-enterprises. Only a little over 3 lakh enterprises were small. Medium enterprises numbered 5000.